

# CONOR LINKSTON'S STOCK PITCH

NIKE, JUST BUY IT.

|                              |                                        |                                |
|------------------------------|----------------------------------------|--------------------------------|
| COMPANY<br><b>NIKE Inc.</b>  | TICKER / EXCHANGE<br><b>NKE / NYSE</b> | SECTOR<br><b>Consumer Disc</b> |
| RECOMMENDATION<br><b>BUY</b> | CURRENT SHARE PRICE<br><b>~\$40</b>    | TARGET PRICE<br><b>\$55</b>    |

Contrarian value / turnaround thesis, Implied upside ~38%, Prices as of 20 Aug 2026.

## 01 INVESTMENT THESIS

I recommend a BUY on Nike at \$40. The market has overstated a bad patch into permanent decline, the stock sits at a 12 year low, down 78% from its peak in 2021. This misprices the world's most dominant sportswear brand as a broken business instead of one working through a fixable downturn. Three points:

- **Durable demand, dominant brand.** Footwear is something everyone needs and often, and Nike remains the global category leader across their brands Nike, Jordan, and Converse. Brand equity of this scale does not evaporate in two weak years.
- **Running market tailwind.** The running boom is expanding the market right now. Nike lost market share here to On and Hoka but still retains great distribution, athletes, and R&D to reclaim ground.
- **Fashion is cyclical and fast.** Sneaker culture moves in waves, a brand this rooted can return to relevance in a single strong product cycle quicker than the market is currently pricing, there is opportunity often.
- **Self help turnaround.** CEO Elliott Hill is resetting wholesale, clearing inventory, and refocusing on sport led innovation which is the classic setup for margin and sentiment recovery once comps normalize.

## 02 COMPANY OVERVIEW

Nike Inc is the world's largest designer and marketer of footwear, apparel, and equipment. Footwear generates roughly two thirds of revenue.

It sells through NIKE Direct - own stores and digital - and wholesale partners, across North America, EMEA and China. Its moat: brand strength, marketing scale, athlete partnerships, and global supply chain will persists through the downturn.

- **Key challenge:** Greater China weakness because revenue is down 17% currency neutral in Q4 and low NIKE Direct digital demand are the two clearest drags management must fix.

## 03 COMPANY FINANCIALS

| METRIC         | FY2025   | FY2026      | FY2027E                |
|----------------|----------|-------------|------------------------|
| Revenue        | ~\$51.4B | ~\$46.4B    | Low-mid single-digit ↓ |
| Adjusted EPS   | ~\$2.16  | ~\$1.67     | ~\$2.57 (↑ ~56%)       |
| Gross Margin   | ~44%     | ~42.9% (Q4) | Recovering             |
| Dividend Yield | ~2.3%    | ~4.2%       | Sustained              |

2026 is the trough, not the trend because revenue and EPS compressed as management cleared inventory and reset the marketplace. Forecasting on EPS rebounding 56% to \$2.57 in 2027 on a healthy balance sheet (net debt/EBITDA). Nike is earnings depressed, not distressed.

- **Shareholder returns:** the 4.2% dividend yield with over 20 years of increases pays investors to wait for the turnaround very well.

## 04 VALUATION CONSIDERATIONS

Approach: a normalized earnings multiple, cross checked against history and consensus. At \$40, Nike trades on 18.6x trailing P/E, 50% below its 10 year average of 37x. The market is valuing a franchise leader like a structurally impaired one.

- **Base case of \$55 :** a conservative 21x on 2027 EPS of \$2.57 which is still below Nike's historical average, implies \$55 (38% upside), assuming a partial recovery only.
- **Street support:** consensus 12 month target \$50.66 (26% upside), high estimate \$94, this shows that even cautious analysts see the stock as oversold.
- **Downside cushion:** the 4.2% dividend yield and strong balance sheet limit the downside while the thesis plays out.

### KEY RISKS TO THE THESIS

Turnaround takes longer than expected as JPMorgan sees 2028 as stabilization and not growth so could be years until • continued China weakness • share loss to On/Hoka becomes structural • further margin pressure from tariffs and discounting • weak consumer demand still going on.

Sources: <https://www.investing.com/equities/nike> • <https://finance.yahoo.com/markets/stocks/article/nikes-stock-plunge-is-relentless-182413545.html> • <https://www.techtimes.com/articles/325038/20260819/nike-hits-12-year-low-jpmorgan-says-fy2028-brings-stabilization-not-recovery.html> • <https://fullratio.com/stocks/nyse-nke/pe-ratio> • <https://stockanalysis.com/stocks/nke/forecast/>